NO. CV-24-54

IN THE ARKANSAS COURT OF APPEALS

CLARK COUNTY, ARKANSAS et al.

APPELLANTS

v.

AT&T CORP. and SOUTHWESTERN BELL d/b/a AT&T ARKANSAS

APPELLEES

On Appeal from the Circuit Court of Clark County, Case No. 10CV-17-28

The Honorable Gary M. Arnold, Special Circuit Judge

BRIEF OF AMICUS CURIAE THE ASSOCIATION OF ARKANSAS COUNTIES

Submitted by:

Colin R. Jorgensen
Association of Arkansas Counties
1415 West Third Street
Little Rock, AR 72201
(501) 372-7947
CJorgensen@ARCounties.org
Counsel for Amicus Curiae the Association of Arkansas Counties

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ARGUMENT

Statement of Interest of Amicus Curiae

The Association of Arkansas Counties (the "AAC") files this brief as amicus curiae in support of Appellants Clark County, Arkansas ex rel. Hon. Troy Tucker, in his official capacity as County Judge of Clark County, Arkansas, individually and o/b/o a class of similarly situated parties. The AAC respectfully asks the Court to reverse the circuit court's decision that counties must pay the statutory 911 fee assessed on monthly telephone-landline bills—a fee that funds the 911 system operated by counties and other local governments and officials.[1]

Established in 1968, the AAC is a voluntary, non-partisan organization offering services to all 75 counties of Arkansas. The AAC exists "to aid in the improvement of county government in the State of Arkansas" and "is recognized as the official agency of the counties of this state to receive funds and use them for making a continuing study of ways and means to improve county government in Arkansas." Ark. Code Ann. § 14-20-107(b) & (d). The AAC's goal is to work to improve county government in Arkansas and provide a single source of cooperative support and information for counties and county officials.

[1]No counsel for a party authored this brief in whole or in part, and no counsel or party funded the preparation or submission of this brief or otherwise collaborated in the preparation or submission of the brief.

All counties have an interest in the pronouncements of this Court, and their interest is elevated in a case such as this—which directly implicates essential services provided by counties for the benefit of Arkansas citizens. This case presents issues of substantial importance to counties in Arkansas.

I. The circuit court's conclusion that counties are subject to the statutory 911 fee should be reversed because counties are exempt from the fee under Ark. Code Ann. § 12-10-303(27).

The Arkansas General Assembly established and funded a 911 emergency system in Arkansas decades ago—and reaffirmed the critical importance of the 911 emergency system and its funding with adoption of the Public Safety Act of 2019. See Arkansas Act 660 of 2019.[2] "The State of Arkansas recognizes that maintaining the public's safety is a sacred trust of the government." 2019 Ark. HB 1564, § 2(a)(1). The 911 funding at issue is intended to "provide the best public safety communications and services possible to all Arkansans and first responders." *Id.*, §2(b). Thus, the Arkansas General Assembly has declared it necessary to "[p]rovide a method of funding for the political subdivisions . . . to implement, operate, and maintain a public safety answering point." Ark. Code Ann. § 12-10-302(e)(4).

Arkansas counties wholeheartedly support the provisions of the Public Safety Act of 2019, which guides their shared commitment to "provide the best

[2] Act 660 of 2019 passed with overwhelming bipartisan support in the Arkansas House (81-5) and Senate (29-3).

public safety communications and services possible to all Arkansans." 2019 Ark. HB 1564, §2(b). County officials demonstrated their commitment to this legislation and the underlying public-safety goals advanced by the legislation, by strongly advocating in favor of the Public Safety Act during the 2019 regular session of the Arkansas General Assembly.[3]

Amicus Curiae adopts the Appellants' argument that a county is a political subdivision and is not a "service user" under Ark. Code Ann. § 12-10-303(27), because a political subdivision is not a "person, company, corporation, business, or association." *Id.* (Appellants' Brief 18-19). Counties also enjoy exemptions from county/municipal taxes and from utility franchise assessments, thus counties are exempt from the 911 fee because counties are "exempt from county or municipal taxes or utility franchise assessments." *Id.* (Appellants' Brief 20-25).

Although it has always been clear that political subdivisions like counties are exempt from the 911 service charge, in the Public Safety Act of 2019, the legislature repealed statutory language that might have been characterized as supporting broader application of the service charge against customers beyond those included in the definition of "service user." See 2019 Ark. HB 1564, amend. 1 (repealing: "The service charge shall have uniform application and shall be

[3]See, e.g., https://www.arcounties.org/media/press-releases/judges-association-announces-intent-to-file-the-arkansas-public-safety-act-of-2019/ (Arkansas County Judges Association Press Release announcing support for the Arkansas Public Safety Act of 2019).

imposed throughout the political subdivision to the greatest extent possible in conformity with availability of the service in any area of the political subdivision."). This confirms what was already clear from the definition of "service user"—the service charge should not be assessed against counties.

AT&T argues that counties are "service users" because all AT&T customers are "parties" to their telephone lines and therefore all AT&T customers are "service users." (Appellees' Brief 19-21). AT&T's circular logic conflicts with the list of service users explicitly contained in the statute—"any person, company, corporation, business, association, or party"—because according to AT&T, all customers are parties, so all customers are "service users." If AT&T is correct, then the statute should simply define "service users" as "all parties" or "all customers"—but that's not the statutory definition at all.

Putting aside AT&T's rendering of statutory language as meaningless, AT&T cannot argue around the fact that counties are exempt from utility franchise assessments and therefore counties are not "service users" under Section 12-10-303(27). And AT&T cannot argue around the fact that counties are exempt from county and municipal taxes and therefore counties aren't "service users" under Section 12-10-303(27). AT&T cannot argue around the plain statutory language: counties are not "service users" because counties are "exempt from county or municipal taxes or utility franchise assessments" (*id.*)—counties are

exempt from all three. AT&T's argument that counties must be exempt from all county or municipal taxes or all utility franchise assessments again misses the mark, this time by adding statutory language that isn't there—the word "all." (Appellees' Brief 21-23). AT&T is simply unable to present an argument about the 911 fee that is rooted in the plain language of the statute—giving every word its ordinary meaning (and without additional words). The counties, on the other hand, seek to read and interpret the statute exactly as written—and so should this Court.

At bottom, AT&T's argument about the "service user" definition and its application to counties "tends to blur the statute's plain language" and should be rejected accordingly. *Weiss v. Cent. Flying Serv., Inc.*, 326 Ark. 685, 690, 934 S.W.2d 211, 213 (1996). The point of the 911 fee is to generate revenue from those who utilize 911 services to fund 911 operations administered by counties—not to charge counties for the service they provide to the citizenry. "Obviously, the General Assembly never intended such a consequence, and this court is duty bound to reject any interpretation of a statute that results in absurdity or injustice, leads to contradiction, or defeats the plain purpose of the law." *Weiss v. Cent. Flying Serv., Inc.*, *supra*, 326 Ark. at 690 (citing *Ragland v. Alpha Aviation, Inc.*, 285 Ark. 182, 686 S.W.2d 391 (1985)).

Arkansas counties are 911 service providers, not 911 service users. Counties and county officials and county employees are the backbone of the 911 system.

Consistent with their critical role administering the system funded by the 911 service charges—and consistent with the fact that counties are exempt from property taxes and a host of other county and municipal taxes and fees—counties are exempt from the 911 service charge that AT&T has assessed against them in this case under Ark. Code Ann. §12-10-301 et seq. The counties appreciate AT&T's proper collection and remittance of the 911 fee from "service users," and the counties acknowledge that the funding generated through AT&T's compliance is critical for funding the 911 system in Arkansas. But assessing the fee against counties is counterproductive and illogical. And most important, assessing the fee against counties is contrary to Arkansas law. The circuit court's conclusion that the 911 fee was properly assessed against counties should be reversed.

REQUEST FOR RELIEF

Amicus Curiae the Association of Arkansas Counties respectfully requests that this Court reverse the circuit court's conclusion that counties are subject to the 911 fee and hold that counties are not subject to the 911 fee as a matter of law.

Respectfully submitted,

/s/ Colin R. Jorgensen
Association of Arkansas Counties
1415 West Third Street
Little Rock, AR 72201
(501) 372-7947
CJorgensen@ARCounties.org
Counsel for Amicus Curiae the Association of Arkansas Counties

CERTIFICATE OF SERVICE

I, Colin R. Jorgensen, hereby certify that on May 29, 2024, I electronically tendered this Brief using the Court's electronic filing system, which will automatically serve all counsel of record.

/s/ Colin R. Jorgensen

Colin R. Jorgensen (2004078)

CERTIFICATE OF COMPLIANCE WITH ADMINISTRATIVE ORDER NO. 19, ADMINISTRATIVE ORDER NO. 21 § 9, AND WORD COUNT LIMITATIONS

I, Colin R. Jorgensen, hereby certify that this Brief complies with Rule 4-1 and Rule 4-6 of the Rules of the Supreme Court and Court of Appeals, Administrative Order No. 19 regarding the style of briefs and the redaction of any confidential information, and Administrative Order No. 21, Section 9, regarding hyperlinks to external papers or websites. The PDF document is identical to the corresponding parts of the paper document from which it was created as filed with the Court. To the best of my knowledge, information, and belief formed after scanning the PDF document for viruses with an antivirus program, the PDF document is free of computer viruses.

This Brief also complies with the word-count limitations in Rule 4-6(g) of the Rules of the Supreme Court and Court of Appeals, because it contains 1,356

words, excluding the cover, table of contents, table of authorities, certificate of service, and this certificate of compliance.

/s/ Colin R. Jorgensen

Colin R. Jorgensen (2004078)